The Advertising Research Foundation

ARF PRESENTS

RE!THINK2016

# Brand Investment & Valuation
# A New Empirical Approach




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MASB

# The Issue

- The “brand” is one of the largest assets a company owns
- Unlike tangible assets like factories which are quantified on the balance sheet, a brand’s financial value often goes unrecognized
- This puts marketing and finance teams at a disadvantage for assessing investments in the brand such as media

# Essentially…



# Brand Investment and Valuation Project

- To bridge this gap MASB, The Marketing Accountability Standards Board, sponsored an ambitious project
- Establish missing linkages between marketing & financial metrics and build a BIV model that any brand could use
- Brought together:
  - Leading Academics (LMU, Duke, Michigan, Cologne, Witwatersrand)
  - Specialists from research companies (nielsen, MSW•ARS)
  - Finance and marketing practitioners from six blue chip corporate participants

# BIV Corporate participants



PEPSICO



Kimberly-Clark



MillerCoors™



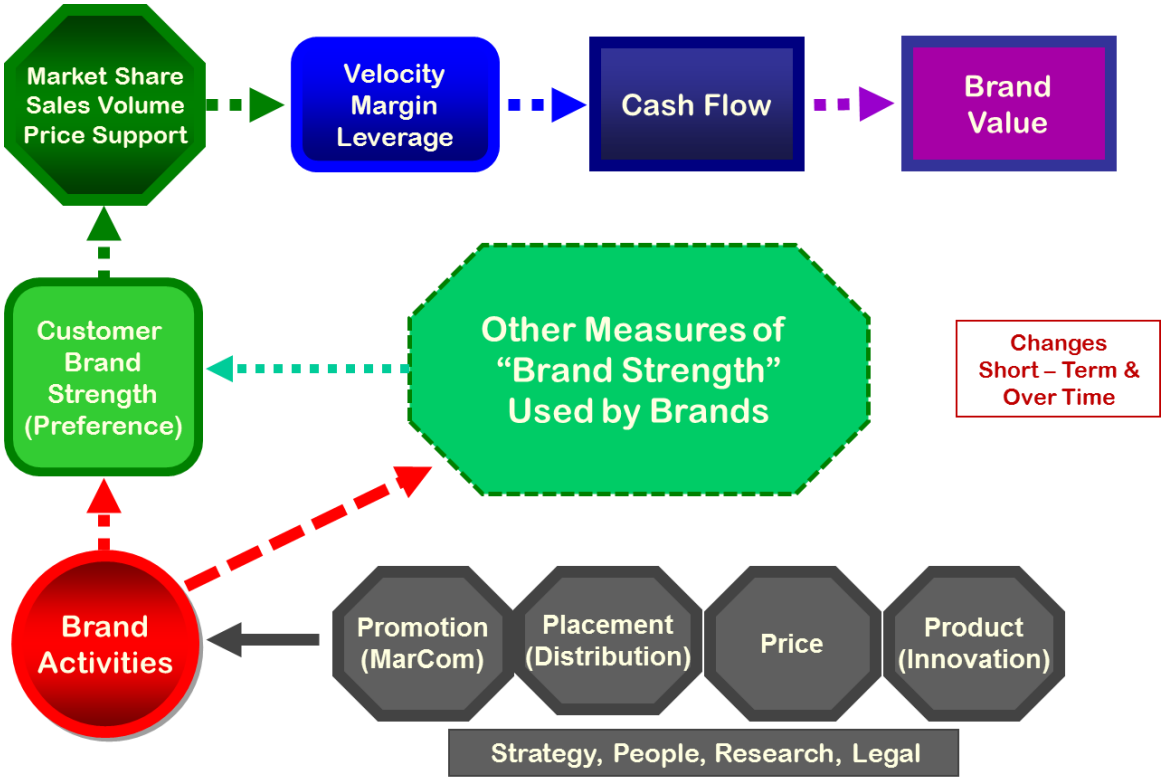
ConAgra Foods
Food you love



GENERAL MOTORS

HERSHEY'S®

# Tracking Study To…



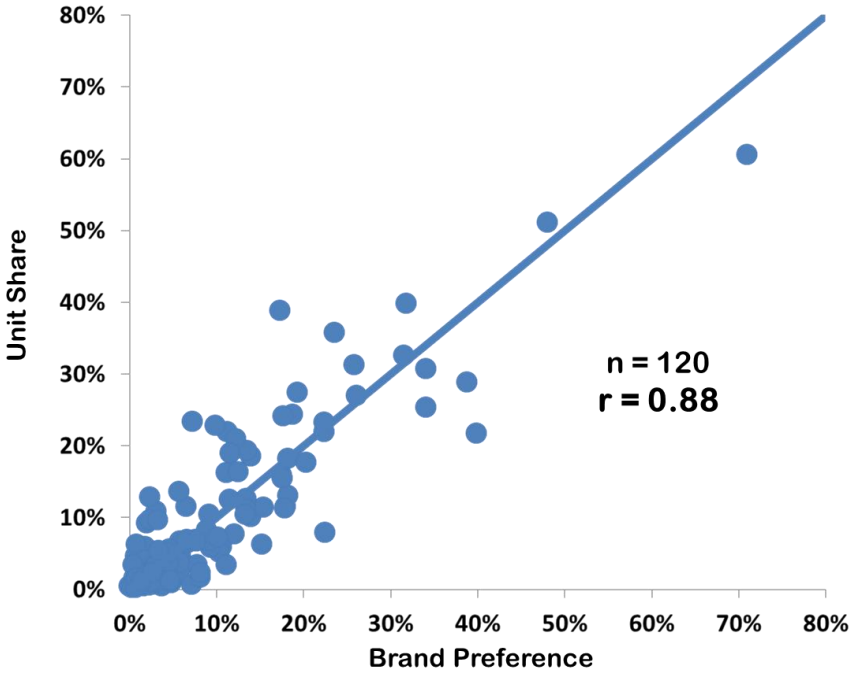

1. Identify cornerstone brand strength metric
2. Link this to other marketing metrics
3. Validate a practical model for brand valuation that finance teams can easily implement

# Tracking Study Details

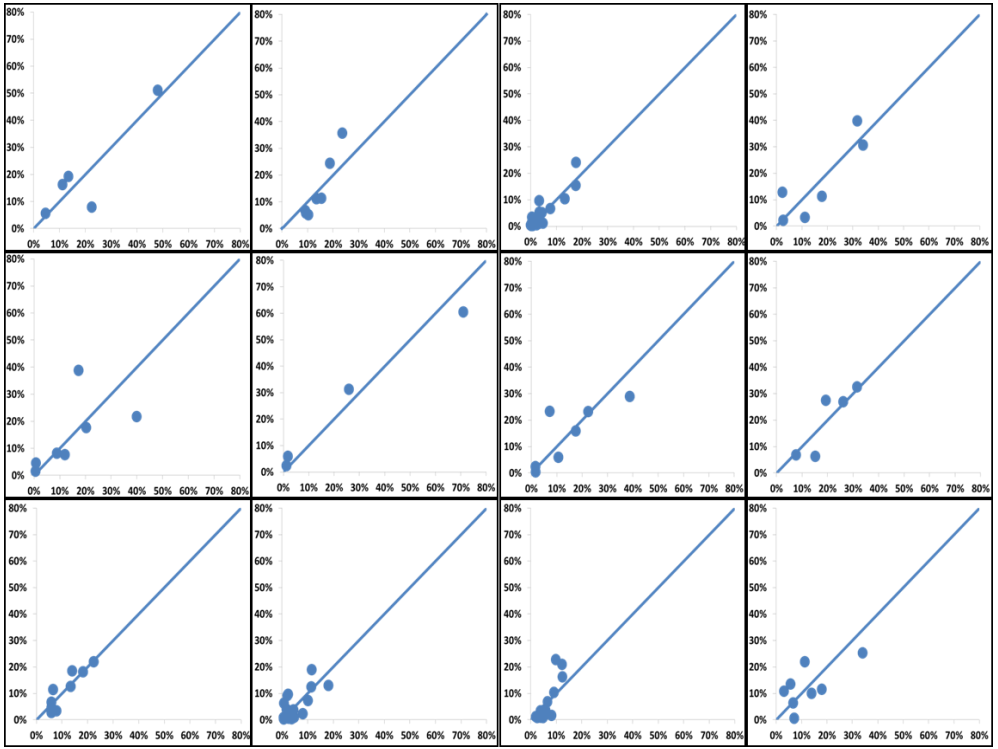
- 18 months
- 12 diverse categories, 120 brands
- Financial and brand strength metrics
  - Unit Share, price, distribution - from each participant's provider
  - Brand Preference - provided by MSW•ARS
  - Other marketing metrics - from each participant's proprietary system
- Robust samples (e.g. n=7,200 consumers for preference)

# Link Between Brand Preference and Unit Share Market Share

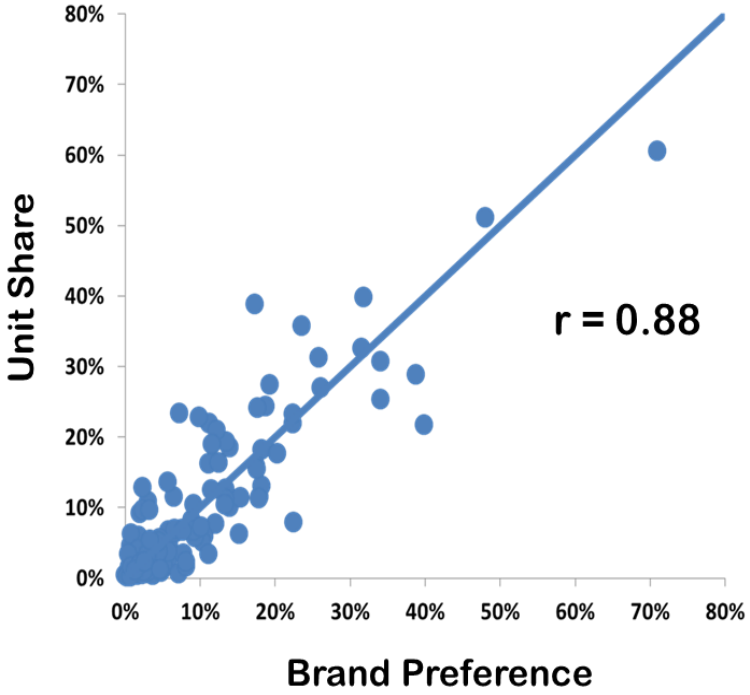
## Across All Twelve Categories

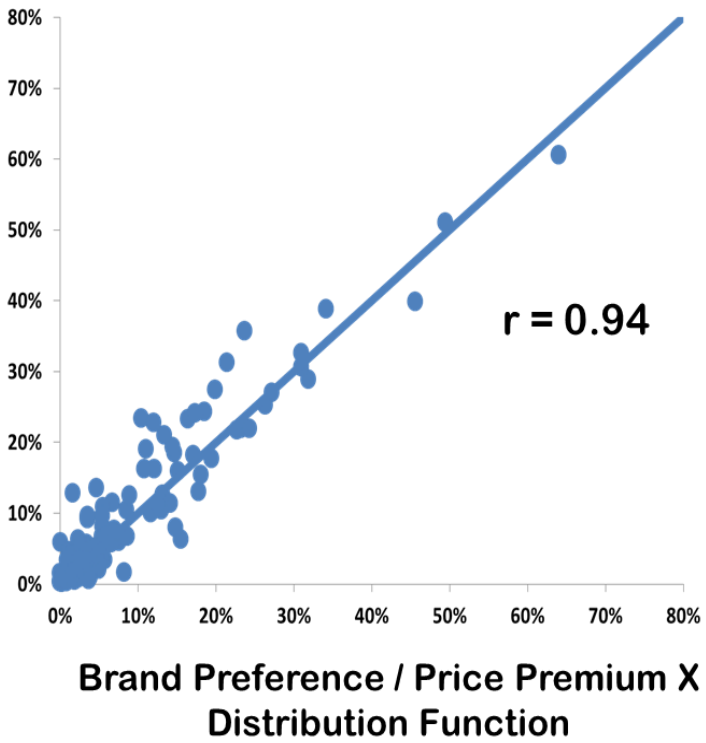



## Within Each Category



# With Price and Distribution Included 89% of Differences in Unit Share Explained

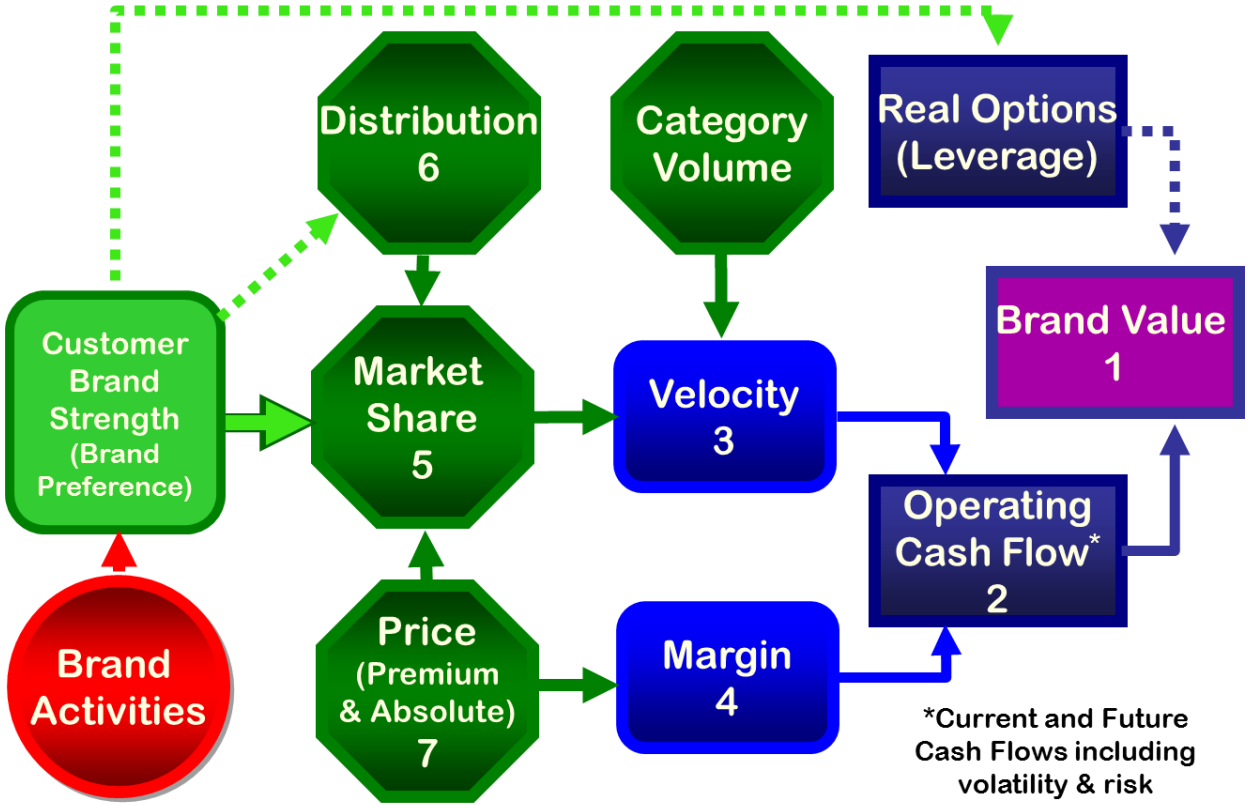


# Link Between Brand Preference and Other Marketing Metrics

| | Average Variance Explained in | |
|---|---|---|
| | **Brand Preference** | **Unit Share** |
| **Brand Preference** | NA | 80% |
| **Awareness – Unaided** | 52% | 48% |
| **Brand Loyalty** | 50% | 45% |
| **Value** | 41% | 32% |
| **Purchase Intent** | 33% | 27% |
| **Brand Relevance** | 28% | 19% |
| **Awareness – Aided** | 28% | 18% |
| **Advocacy** | 23% | 15% |

# Resulting Brand Investment/Valuation Model



# Or for those of you more mathematically inclined…

**PV Calculation and Financial Ratios:**

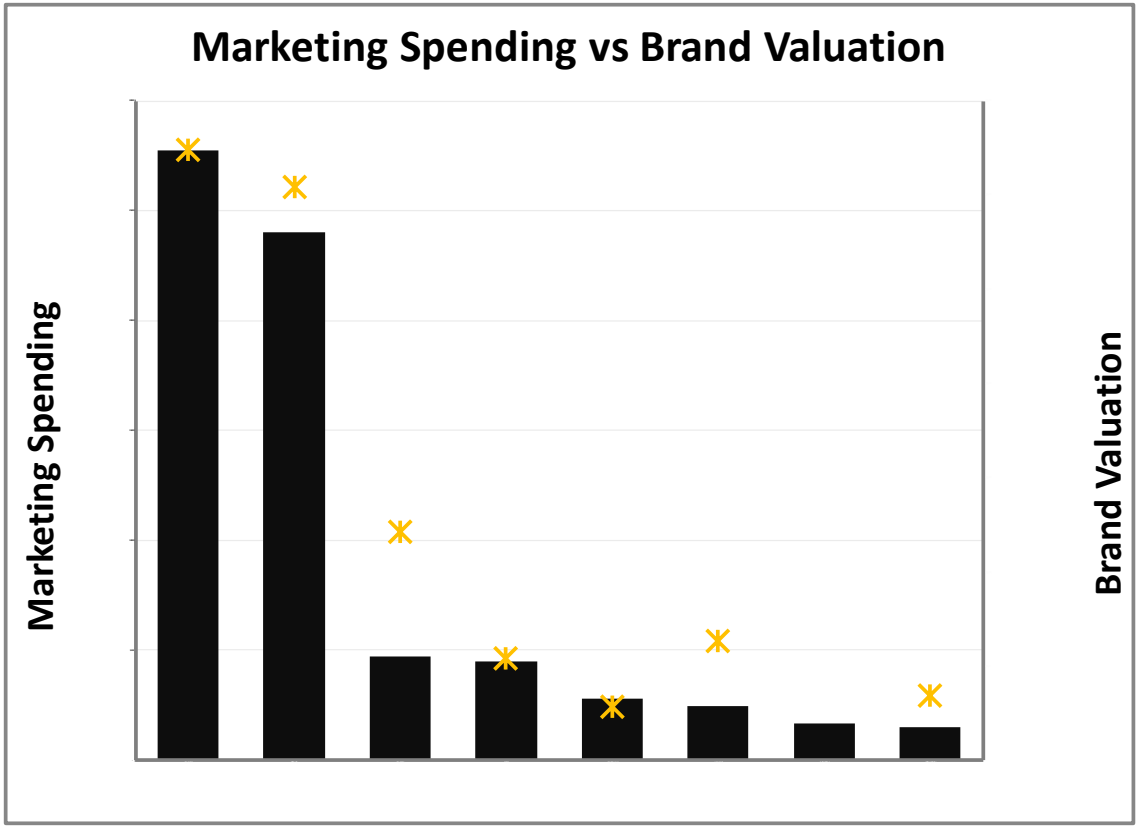
(1) Present Value = $\sum$ {Future Period Cash Flows / $(1 + R)^{T}$} + Terminal Value
(2) Future Period Cash Flows = Brand Sales - Brand Costs (Margin: Profit/Sales)
(3) Brand Sales = Category Size * Average Brand Unit Price * Unit Share (Velocity: Sales/Assets)
(4) Brand Costs = Costs associated with producing sales for the brand
(5) Unit Share ~ Brand Preference * Distribution Factor / Relative Price Factor
(6) Distribution Factor = $f$ (B0 + B1 * ln (Distribution))
(7) Price Ratio = $f$ (B2 * Average Brand Unit Price / Average Category Unit Price)

Real Options include option to generate future revenues after sale of brand (related to terminal value), potential brand extensions, potential in new markets, etc. (Leverage: Assets/Equity)

**DuPont Model:**

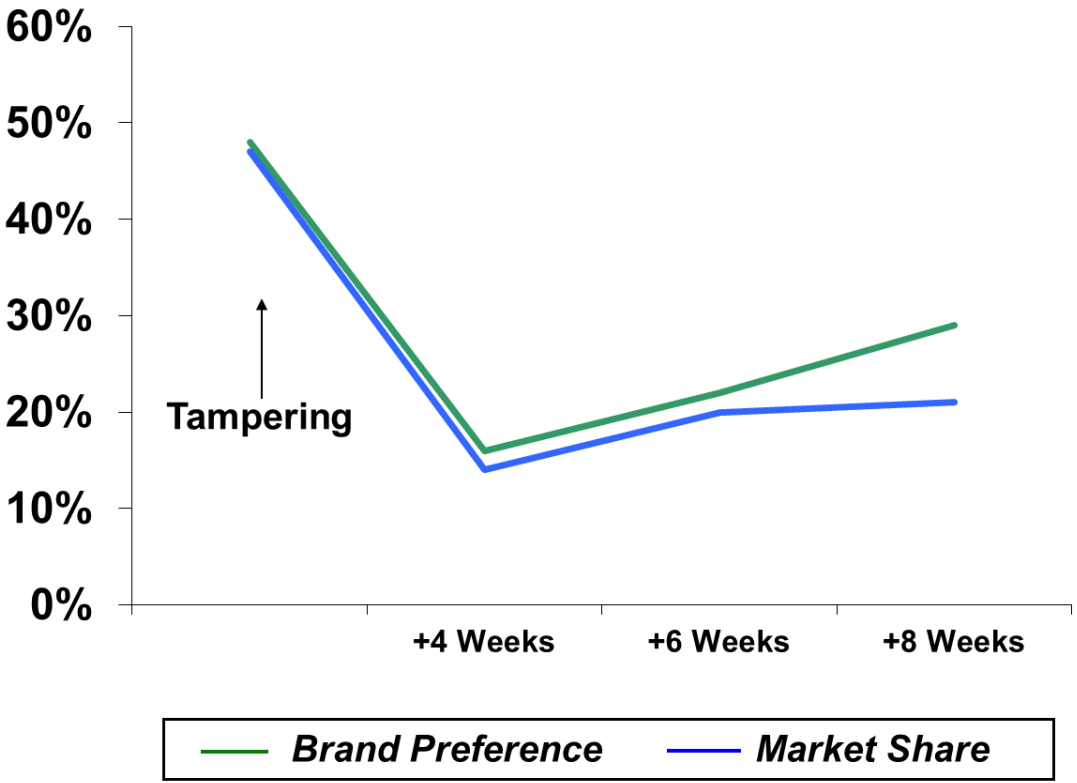
Profit/Sales x Sales/Assets x Assets/Equity = Profit/Equity = Return on Equity

# Case Study #1 – Relationship Between Long-term Brand Investment and Valuation




- Long-term marketing spend behind brand
- Calculated brand valuation using MASB BIV model

# Case Study #2 – Monitoring Brand Recovery

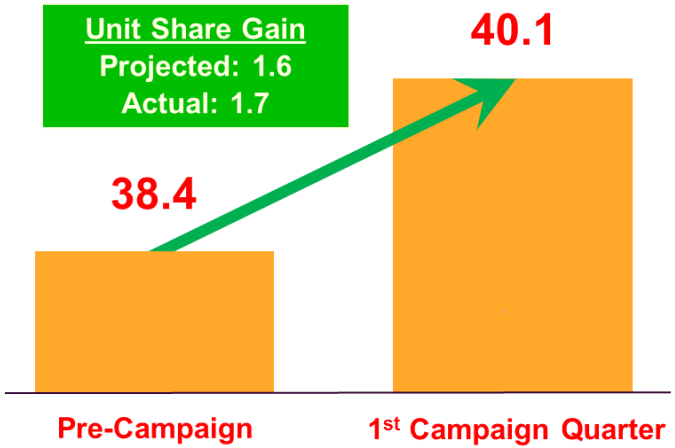



**Brand Preference plummeted 32 points** during the Tylenol Tampering incident, as the nation watched several people die from the poisoning. The Tylenol brand could no longer be trusted.

As Brand Preference dropped **Tylenol's Market Share fell 33 points**.

As J&J addressed the situation responsibly, the strength of the brand's previous contract (trust) in the minds of consumers was rebuilt, although a bit more slowly than it was damaged.

# Case Study #3 – Projecting Media Return




- Starkist used brand preference from copytesting, planned media spend, and the product price level to accurately project in-market ad performance
- 'What if' scenarios showed the brand was "leaving money on the table" - additional airing would continue to significantly grow preference/market share
- The brand team took this knowledge to management and they approved an increase in the media budget – the result was a dramatic improvement in ROI to 368%

Source: "StarKist: A True Return on Investment." *Quirk's Marketing Research Review*

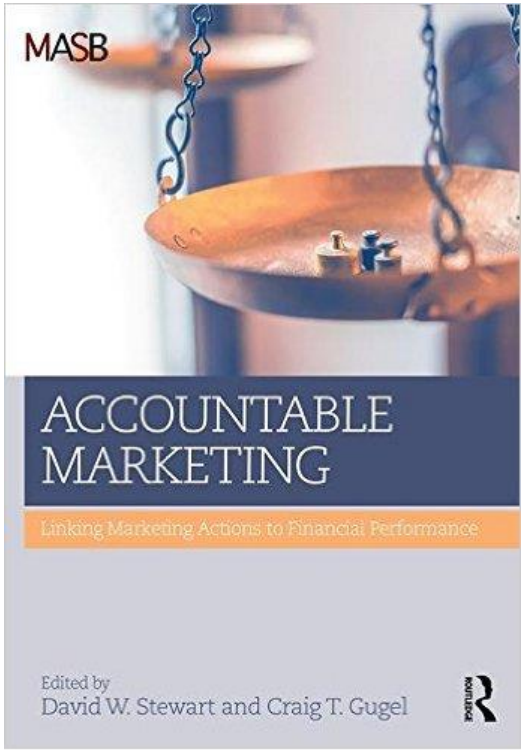
# Participant quote

*Brands could "earn" a higher valuation based on improved brand preference which would remove uncertainty relating to future financial assumptions and the longevity of the brand…*

*Operations can purchase and maintain an asset. Marketing can create and grow one*

*- Jim Meier, Miller-Coors*

# Learnings and metric readily available




A **continuous tracking** of all brands in a category

THE BRAND STRENGTH MONITOR®

**Online dashboard** integrates with financial reporting software (e.g. MS Excel, SAP)

An **affordable** solution

# Conclusions

- Brand preference is a strong indicator of "brand strength"
  - Explaining 89% variance in unit share with price & distribution
  - Captures impact of other marketing metrics – cornerstone
- A practical model for brand valuation is now available
  - Uses 'present value' of cash flows in alignment with other assets
  - Provides a consistent means for tracking brand values over time
- Case studies reveal the power of this new empirical approach for managing brand investments